Capstone Copper Corp.

Modest Target Reduction Accounting for Sulphuric Acid Cost Pressures; Maintain O/P

CS (TSX)	STOCK RATING	TARGET	EST. TOTAL RETURN
C$11.32	**Outperform** (Unchanged)	**C$14.00** (Was C$15.00)	**23.7%**

Q1/2026 Financial Results

We updated our estimates following CS's Q1/26 financial results and conference call. See our *First Look Flash* for a detailed review of CS's quarterly results.

Q1/26 Results Above NBCM/Consensus

Adj. EBITDA of US$329.1 mln was above NBCM/Consensus of US$242 mln/ US$283 mln. The beat relative to NBCM was due to higher than expected sales, lower unit operating costs and lower exploration expenses. CS produced 47,960 t of copper, above NBCM Estimate of 45,048 t. C1 copper cash costs of US$2.66/lb were below NBCM Estimate of US$3.00/lb.

2026 Guidance Reiterated; Cost Pressures Remain

CS has maintained 2026 guidance of 200,000-230,000 t at a cost of US$2.45-US $2.75/lb (NBCM: 206,000 t at US$2.75/lb). CS outlined sensitivity to ongoing supply disruptions from the Middle East - we estimate ~US$0.20/lb impact assuming current diesel/acid prices persist through the remainder of the year. Given these cost pressures, we have assumed that a portion of cathode production is curtailed through H2/26 into 2027 and account for higher operating costs (still within the upper band of company guidance).

FCF Improvement Expected in H2/26

CS ended Q1 with US$394.1 mln in cash, US$237.5 mln in working capital and US$1,064 mln in long-term debt. ND/EBITDA was ~0.61x, and we model leverage improving to sub ~0.3x coinciding with an anticipated investment decision at Santo Domingo in Q4/26.

Reiterating Outperform Rating; $14.00 Target (was $15.00)

We have incorporated higher consumable costs, curtailed a portion of cathode production and deferred some capital spending into 2027/2028, which has led to a slight decrease in our target. We reiterate our Outperform rating given the company's discounted valuation and our positive long-term growth outlook; however, CS remains one of the names more exposed to prolonged conflict in the Middle East given significance of diesel/sulphuric acid cost pressures.

STOCK DATA

52-Week High and Low ($)	18.04-6.31
Dividend per Share ($)	0.00
Dividend Yield (%)	0.0
Shares Outstanding (Mln)	763.7
Shares Outstanding - FD (Mln)	764.4
Market Capitalization ($Mln)	8,641.8
Net Debt ($Mln)	613.5
Enterprise Value ($Mln)	7,169.7

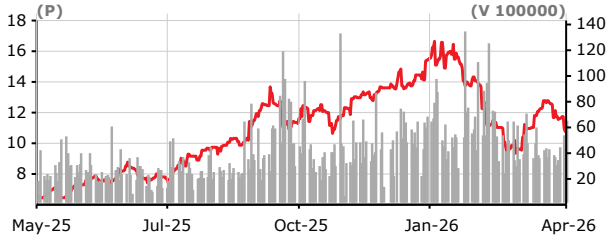
NBCCM ESTIMATES & VALUATION

Fiscal Y/E December	2025A	2026E	2027E
Cu Production (t)	224,766	206,000	249,977
Cu Sales (t)	221,055	201,894	243,057
Revenue ($Mln)	2,359.9	2,647.3	3,048.3
Adj. EBITDA ($Mln)	952.7	1,337.6	1,565.4
Adj. Net Income ($Mln)	163.7	543.4	743.7
Adj. EPS ($)	0.21	0.71	0.97
Operating CF - Before W/ C ($Mln)	897.0	1,129.8	1,379.8
NAVPS (C$)		9.64	

All figures in C$ unless otherwise noted

Source: NBCM Estimates, Company Reports and LSEG

STOCK PERFORMANCE *(Source: FactSet)*



COMPANY PROFILE

Capstone Copper Corp. is a Canadian-based intermediate mining company with copper production from four operating mines: Pinto Valley in Arizona, Cozamin in Mexico, Mantoverde and Mantos Blancos in Chile. The company also owns the Santo Domingo development project in Chile.

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For required disclosures, please refer to the end of the document.

FINANCIAL AND OPERATING SUMMARY: CAPSTONE COPPER CORP.

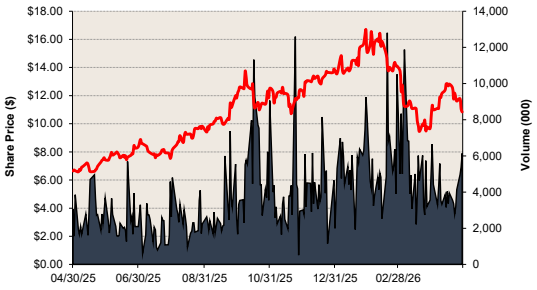
STOCK RATING	**Outperform**	**TICKER**	**CS.TO**
TARGET PRICE (C$)	**$14.00**	**CURRENT PRICE (C$)**	**$11.32**
TOTAL RETURN	**24%**	**52-WEEK HIGH (C$)**	**$18.04**
SECTOR RATING	**Overweight**	**52-WEEK LOW (C$)**	**$6.31**
FISCAL YEAR-END	**December 31**	**SHARES OUTSTANDING (mln)**	**763.7**
		MARKET CAPITALIZATION (C$ mln)	**$8,641.8**

MARKET DATA

Capital Structure	Average Strike (C$)	Shares (mln)
Shares Outstanding		763.7
Options	$7.34	3.5
Warrants	$0.00	0.0
Fully Diluted Shares		767.2

Top Ownership	% of Outstanding	Shares (mln)
GRM Investments, Ltd.	6.6%	50.7
Orion Resource Partners (USA) LP	5.6%	43.0
Norges Bank Investment Management (NBIM)	3.3%	25.0
Mirae Asset Global Investments (USA) LLC	3.2%	24.1
The Vanguard Group, Inc.	2.8%	21.5

STOCK CHART



FINANCIAL DATA

Technical Assumptions	2025A	2026E	2027E	2028E	2029E
Copper (US$/lb)	$4.51	$5.77	$5.50	$5.00	$5.00
Lead (US$/lb)	$0.89	$0.90	$0.90	$0.90	$0.90
Zinc (US$/lb)	$1.30	$1.49	$1.50	$1.35	$1.35
Moly (US$/lb)	$22.22	$27.01	$27.50	$20.00	$20.00
FX Rate (C$/US$)	$1.40	$1.38	$1.39	$1.36	$1.35

Financial Forecasts	2025A	2026E	2027E	2028E	2029E
Balance Sheet (US$ mln)					
Cash & Equivalents	$304.2	$735.6	$1,350.8	$1,770.8	$1,780.7
Working Capital	$154.8	$273.7	$1,264.9	$1,626.6	$1,284.7
Long-Term Debt	$1,223.7	$886.5	$1,475.6	$2,119.3	$1,786.8
Income Statement (US$ mln)					
Revenue	$2,359.9	$2,647.3	$3,048.3	$2,928.7	$2,962.0
Operating Costs	$1,322.2	$1,276.0	$1,422.0	$1,464.1	$1,388.0
G&A Expense	$32.7	$37.0	$36.0	$36.0	$36.0
Adjusted EBITDA	$952.7	$1,337.6	$1,565.4	$1,403.6	$1,538.0
DD&A	$481.7	$469.0	$500.6	$488.3	$336.2
Adjusted Net Income	$163.7	$543.4	$743.7	$668.6	$854.3
Cash Flow (US$ mln)					
Operating CF - Before W/C	$897.0	$1,129.8	$1,379.8	$1,255.6	$1,305.6
Capital Expenditures	($1,027.4)	($1,328.6)	($1,938.0)	($3,052.5)	($3,305.0)
Proceeds from Equity	$30.3	$0.2	$2.3	$2.9	$4.5
Proceeds from Debt	$74.4	($1.4)	$216.6	$557.0	($73.0)
FCFE	$172.6	$431.4	$615.2	$419.9	$9.9
Adjusted EPS (US$)	**$0.21**	**$0.71**	**$0.97**	**$0.87**	**$1.12**
CFPS (US$)	**$1.18**	**$1.48**	**$1.81**	**$1.64**	**$1.71**
Shares Outstanding (mln)	762.3	763.7	763.9	764.5	765.2

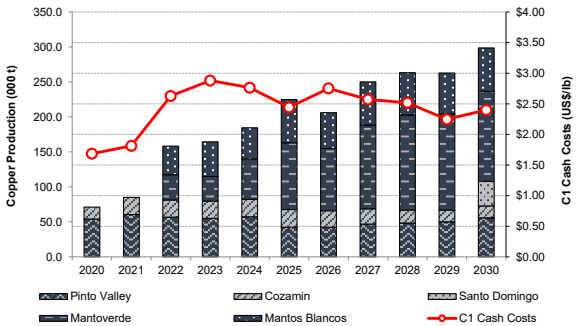
Operating CFPS Sensitivity	2025A	2026E	2027E	2028E	2029E
+10% Δ in Copper		13%	16%	18%	5%

NAV SUMMARY AND SENSITIVITY

	Base Case (US$ mln)	Spot (US$ mln)
Pinto Valley; After-Tax (8%)	$895	$2,327
Cozamin; After-Tax (8%)	$413	$616
Mantos Blancos; After-Tax (8%)	$1,031	$1,686
Mantoverde; After-Tax (8%)	$2,443	$3,550
Santo Domingo; After-Tax (10%)	$1,056	$2,172
Additional Exploration Credit (In Situ)	$931	$945
Project NAV	**$6,769**	**$11,296**
Corporate Adjustments; After-Tax (10%)	($421)	($421)
Working Capital	$314	$325
Cash from Dilution	$19	$19
Long-Term Debt	($1,202)	($1,202)
Add Back Dividends	$0	$0
Corporate NAV	**$5,478**	**$10,016**
Project NAVPS (C$)	**$11.96**	**$20.13**
Corporate NAVPS (C$)	**$9.64**	**$17.85**
Current Price/Corporate NAVPS	1.17x	0.63x
Target Price/Corporate NAVPS	1.45x	0.78x
2026E CFPS (US$)	**$1.48**	**$1.52**
2027E CFPS (US$)	**$1.81**	**$2.00**
EV/2026E CFPS	6.3x	6.0x
EV/2027E CFPS	5.2x	4.6x

OPERATIONAL DATA

Consolidated Production Profile	2025A	2026E	2027E	2028E	2029E
Copper Production (t)	224,766	206,000	249,977	263,238	262,765
Lead Production (t)	1,209	1,681	2,464	3,003	6,275
Zinc Production (t)	1,749	1,861	3,764	5,543	11,838
Moly Production (t)	66	100	180	186	192
Copper Sales (t)	221,055	201,894	243,057	256,316	255,619
Copper C1 Cash Cost (US$/lb)	$2.44	$2.75	$2.57	$2.52	$2.25



CONSENSUS ESTIMATE SUMMARY

	EPS (US$)			CFPS (US$)		
	Mean	High	Low	Mean	High	Low
Consensus 2026E	$0.56	$0.89	$0.28	$1.40	$2.16	$0.95
Consensus 2027E	$0.94	$1.29	$0.46	$1.83	$2.56	$1.37

	Δ EPS	Δ CFPS		
NBCM vs. Consensus 202	$0.15	$0.07	Consensus Target:	$16.20
NBCM vs. Consensus 202	$0.03	($0.02)	NBCM/Consensus Target:	-14%
			Number of Analysts:	17

COMPARABLE COMPANIES*

	Ticker	Price	EV/CF		NAVPS	P/NAV
		($)	2026E	2027E	($)	(x)
Ero Copper	ERO.TO	$35.00	6.2x	5.1x	$35.54	0.98x
Hudbay Minerals	HBM.TO	$31.09	R	R	R	R
Lundin Mining	LUN.TO	$34.50	9.7x	9.9x	$31.76	1.09x
Teck Resources	TECKb.TO	$79.18	5.8x	6.4x	$63.81	1.24x
Taseko Mines	TKO.TO	$9.68	11.1x	7.2x	$10.79	0.90x
Average			**8.2x**	**7.1x**		**1.05x**
Capstone Mining	**CS.TO**	**$11.32**	**6.3x**	**5.2x**	**$9.64**	**1.17x**

**Based on NBCM Estimates*

REPORTED RESERVES AND RESOURCES*

	Tonnes (mln)	Cu (mln t)	Mo (mln t)	Pb+Zn (mln t)	CuEq (mln t)
Proven and Probable Reserve	**1,666.6**	**6.4**	**0.1**	**0.1**	**8.2**
Measured and Indicated Resource	3,348.3	11.9	0.1	0.4	14.6
Inferred Resource	1,064.8	3.4	0.0	0.3	4.5
Total Resource	**4,413.1**	**15.3**	**0.2**	**0.7**	**19.1**

**Presented on 100% basis with Resources inclusive of Reserves.*

Source: NBCM Estimates, Company Reports

Q1 Financials Beat NBCM/Consensus

We have updated our estimates to incorporate Capstone's reported Q1/26 financial results, including Adj. EBITDA of US$329.1 mln, above NBCM/Consensus Estimates of US$242 mln/US$283 mln. The beat related to NBCM was due to higher than expected sales, lower unit operating costs and lower exploration expenses. Adj. EPS of US$0.12 was also above NBCM/Consensus Estimate of US$0.11/US$0.10. Higher tax expenses partially offsetting stronger EBITDA when compared with NBCM Estimates.

Capstone produced 47,960 t of copper in Q1/26 above NBCM Estimate of 45,048 t. Total copper sales of 46,576 tonnes were above NBCM Estimate at 43,839 tonnes. C1 copper cash costs in the quarter of US$2.66/lb were below NBCM Estimate of US$3.00/lb as we had anticipated a greater impact from 35-day strike action and associated downtime at Mantoverde sulphides earlier in the quarter and modeled higher costs at Cozamin.

See Figure 1 for a Summary of our key operating and financial estimates.

Figure 1: Summary of NBCM Estimates

			Q4/25A	Q1/26A	Q2/26E	Q3/26E	Q4/26E	2025A	2026E	2027E	2028E	2029E
Copper Production	**(tonnes)**	**new**	**58,274**	**47,960**	**53,404**	**49,033**	**55,603**	**224,766**	**206,000**	**249,977**	**263,238**	**262,765**
		old	-	45,048	54,792	51,802	58,857	-	210,500	256,063	261,040	261,933
C1 Cu Cost	**(US$/lb Cu)**	**new**	**$2.31**	**$2.66**	**$2.80**	**$2.86**	**$2.69**	**$2.44**	**$2.75**	**$2.57**	**$2.52**	**$2.25**
		old	-	$3.00	$2.66	$2.66	$2.59	-	$2.71	$2.41	$2.51	$2.25
All-in Sustaining Cost	**(US$/lb Cu)**	**new**	**$3.92**	**$4.11**	**$3.51**	**$3.70**	**$3.44**	**$3.77**	**$3.68**	**$3.19**	**$2.91**	**$2.66**
		old	-	$4.06	$3.39	$3.42	$3.28	-	$3.51	$3.04	$2.88	$2.67
EBITDA	**(US$ mln)**	**new**	**$308.0**	**$329.1**	**$342.0**	**$299.5**	**$367.0**	**$953**	**$1,338**	**$1,565**	**$1,404**	**$1,538**
		old	-	$242.0	$360.0	$332.0	$393.9	-	$1,328	$1,660	$1,393	$1,528
Adjusted EPS	**(US$/share)**	**new**	**$0.10**	**$0.12**	**$0.21**	**$0.15**	**$0.23**	**$0.21**	**$0.71**	**$0.97**	**$0.87**	**$1.12**
		old	-	$0.11	$0.22	$0.18	$0.25	-	$0.76	$1.06	$0.87	$1.12
CFPS	**(US$/share)**	**new**	**$0.38**	**$0.29**	**$0.40**	**$0.37**	**$0.43**	**$1.18**	**$1.48**	**$1.81**	**$1.64**	**$1.71**
		old	-	$0.28	$0.42	$0.40	$0.46	-	$1.56	$1.90	$1.62	$1.68
Total Capex	**(US$ mln)**	**new**	**$157.8**	**$155.6**	**$199.5**	**$204.5**	**$201.1**	**$519.1**	**$760.7**	**$1,081.5**	**$1,879.0**	**$1,381.0**
		old	-	$180.0	$180.0	$180.0	$180.0	-	$720.0	$1,046.5	$1,859.0	$1,381.0
Free Cash Flow	**(US$ mln)**	**new**	**($23.4)**	**$37.4**	**$74.3**	**$38.5**	**$282.6**	**$67.2**	**$432.7**	**$396.3**	**($139.9)**	**$78.4**
		old	-	($12.6)	$53.3	$90.9	$325.1	-	$456.7	$499.3	($98.8)	$55.8

Source: NBCM Estimates, Company Reports

2026 Guidance Unchanged; Diesel and Sulphuric Acid Cost Pressures Outlined

- CS has maintained 2026 guidance of 200,000 – 230,000 t at a cash cost of US$2.45 - US$2.75/lb (NBCM: 206,000 t at C1 cash cost of US$2.75/lb, revised from 210,500 t at US$2.71/lb previously).
    - CS outlined cost sensitivity to ongoing supply disruptions from the Middle East, citing guidance has been based on US$60/bbl WTI (every 10% change in prices, impacts costs by ~ US$0.02/lb plus ~ US$4 mln to capitalized stripping activities). CS expects to consume 134 mln L of diesel in the remainder of 2026 (75% in Chile, 24% in the USA, and 1% in Mexico).
    - CS expects to consume 590 kt of sulphuric acid over the remainder of 2026 (97% in Chile and 3% in the USA). The company has locked in pricing for 55% of sulphuric acid consumption for the year at US$185/t (CFR Chile) (weighted to H1) and has been not been made aware of any risks to supply from its suppliers for the year (every 10% change would impact consolidated operating costs by ~ US$0.01/lb).
    - **In total, we estimate the impact of WTI and sulphuric acid (CFR Chile) at spot prices is expected to be between ~ US$0.15 - US$0.20/lb after accounting for the offsetting impact of higher than budgeted by-product revenues and ongoing optimization initiatives.**
- CS expects to spend US$270 mln on sustaining capex and US$225 mln on expansionary capex in 2026. NBCM Estimates including capitalized stripping stand at US$730 mln (was US$720 mln) compared to guidance at US$720 mln. At current WTI prices, we estimate an additional US$30 mln on capitalized stripping and have assumed a portion of capital expenses and discretionary exploration can be deferred into 2027/2028.

See Figure 2 for a comparison of NBCM Estimates with company guidance.

Figure 2: NBCM Estimates Compared With 2026 Guidance

		2026 Guidance	2026 NBCM Estimates	2026 NBCM Estimates (Old)
Operating Guidance - Consolidated				
Copper Production	(t)	200,000 - 230,000	206,000	210,500
Copper C1 Cash Cost	(US$/lb)	$2.45 - $2.75	$2.75	$2.71
Operating Guidance - By Operation				
Pinto Valley				
Copper Production	(t)	42,000 - 48,000	42,500	43,000
Copper C1 Cash Cost	(US$/lb)	$3.00 - $3.30	$3.45	$3.40
Cozamin				
Copper Production	(t)	21,000 - 24,000	23,500	23,000
Copper C1 Cash Cost	(US$/lb)	$1.55 - $1.85	$1.25	$1.50
Mantos Blancos (Sulphide Business)				
Copper Production	(t)	38,000 - 44,000	42,000	42,000
Copper C1 Cash Cost	(US$/lb)	$2.85 - $3.15	$3.10	$2.95
Mantos Blancos (Cathode Business)				
Copper Production	(t)	10,000 - 12,000	9,000	11,000
Copper C1 Cash Cost	(US$/lb)	$2.80 - $3.10	$4.65	$3.10
Mantoverde (Sulphide)				
Copper Production	(t)	64,000 - 74,000	68,000	65,000
Copper C1 Cash Cost	(US$/lb)	$1.25 - $1.55	$1.45	$1.60
Mantoverde (Cathode Business)				
Copper Production	(t)	25,000 - 28,000	21,000	26,500
Copper C1 Cash Cost	(US$/lb)	$4.60 - $4.95	$5.70	$4.85
Financial Guidance				
Capex (w/ Capitalized Stripping)	(US$ mln)	(720)	(730)	(720)
Exploration	(US$ mln)	(70)	(65)	(70)

Source: Company Reports, NBCM Estimates

Project Updates

Mantoverde (36% of NAV)

- Q1 production came in at 19,018 t, lower than the 23,819 t achieved in Q4, with cathode production at 5,285 t (9,506 t in Q4). Production was impacted by ~5,000 t related to the 35-day strike action which commenced in early January and was resolved on February 5, 2026. This disruption impacted sulphide plant, heap and dump throughput, as well as sulphide copper grades driven by the processing of lower grade stockpiles during the period.
- Plant throughput averaged 27,707 tpd (January - 17,800 tpd, February - 33,400 tpd, March - 32,500 tpd), reflecting normalization of operations in the latter part of the quarter following the earlier disruptions. QTD in April, throughput has averaged ~38,000 tpd outlining the potential for positive operational surprises from Mantoverde when operating consistently.
- Combined C1 costs of US$2.59/lb was higher than US$2.32/lb achieved in Q4/25 due to lower copper production. Cathode C1 cash costs jumped to US$5.77/lb compared to US$4.12/lb on higher acid prices and lower production in the quarter.
- Sulphide production is expected to be at 64,000 - 74,000 t at C1 cash cost of US$1.25 - US$1.55/lb (NBCM: 68,000 t at US$1.45/lb), while cathode production is at 25,000 - 28,000 t at a C1 cash cost of US$4.60 - US$4.95/lb (NBCM: 21,000 t at US$5.70/lb).
    - We have accounted for partial curtailment of some cathode production given elevated sulphuric acid prices related to global sulphur shortages related to the ongoing blockade of the Straight of Hormuz. Longer-term, the company has the potential to pursue pyrite agglomeration as part of the leaching of cobalt resources present in Mantoverde and Santo Domingo ores, which could reduce acid consumption by ~30% and generate in excess of 1,000 tpa of cobalt as a byproduct.
- Capstone advanced Phase 2 of a two-year exploration program at Mantoverde, drilling ~58,000 m to date, representing 94% completion of the original drill program, with five drill rigs turning onsite.

Mantos Blancos (15% of NAV)

- Q1 production of 12,301 t was down compared to Q4/25 at 16,861 t as lower sulphide feed grades of 0.73% compared to 0.94% in Q4. The lower sulphide grades are expected to continue in 2026 as per the mine plan with improvement expected in 2027.
- Combined C1 cash cost of US$3.02/lb were higher than US$1.94/lb in Q4 on lower production and continued higher mining costs, driven by increased maintenance activities and more intensive drilling and blasting requirements associated with harder ore.
- In Q2/26, CS will submit a full environmental impact study permit application for the Mantos Blancos Phase II, which is expected to be followed by the release of a pre-feasibility study outlining project details during Q3/26. We model the mine achieving 26,500 tpd throughput by late 2030, and we see CS is investing US$150.0 mln from late 2028-2029 associated with the project.
- CS had earlier highlighted due to mine sequencing, sulphide copper grades are expected to be ~0.70% in 2026 (NBCM Estimates: 0.71%), with higher copper grades expected to be ~0.85% in 2027 (NBCM: 0.83%). Planned maintenance shutdowns are scheduled during Q2 (four days) and Q3 (three days).
- Sulphide production is expected to be at 38,000 - 44,000 t at C1 cash cost of US$2.85 - US$3.15/lb (NBCM: 42,000 t at US$3.10/lb), while cathode production is at 10,000 - 12,000 t at a C1 cash cost of US$2.80 - US$3.10/lb (NBCM: 9,000 t at US$4.65/lb).

Pinto Valley (13% of NAV)

- Q1 production of 10,711 t was lower than 11,423 t in Q4/25 due to lower mill throughput at 34,994 tpd (42,029 tpd in Q4). The lower throughput was attributable to mill interruptions, including ~12 days of unplanned maintenance related to the filter plant and a failure in the roof of the concentrate storage facility during Q1.
- Grades stood at 0.36% (0.33% in Q4) with improved recoveries at 88.2% (85.5% in Q4) due to mine sequencing.
- The planned shutdown in September to rebuild the primary crusher mainframe and enhance the filter plant is expected to reduce unplanned mill maintenance issues and support more stable plant operations going forward. Near-term reliability initiatives to improve plant availability are also underway.
- C1 cash cost of US$3.46/lb was stable compared to Q4 at US$3.53/lb.

- Production is expected to be weighted towards H2/26 driven by a planned maintenance shutdown in Q2 (10 days), with the goal of enhancing the reliability of the plant, including improvements to the primary crusher. Production is expected to be at 42,000 - 48,000 t at C1 cash cost of US$3.00 - US$3.30/lb (NBCM: 42,500 t at US$3.45/lb).

Cozamin (6% of NAV)

- In Q1, reports surfaced that Capstone is looking to sell the mine as the company shifts its focus in Chile. On the conference call, management outlined another strong operational quarter from Cozamin.
- While there are likely opportunities to prolong copper production and convert existing resources, Cozamin ultimately transitions to more of a zinc operation as the mine progresses deeper, ultimately resulting in higher zinc production and lower copper production (due to declining grades) by the early-2030s based on our current assumptions.
- While not confirmed, proceeds from any potential sale of the mine (~US$400 - US$500 mln based on our Base Case assumptions) would be allocated towards debt reduction and advancement of Santo Domingo.

Santo Domingo (16% of NAV)

- Capstone will continue to advance the remaining workstreams towards a final investment decision on Santo Domingo, expected in Q4/26. Those workstreams include further advancement of detailed engineering and evaluation of district optimization opportunities, securing project financing and ensuring overall balance sheet strength prior to FID.
- We also anticipate potential partnership agreement on project-related infrastructure, which would reduce overall capital costs for the project and reduce development/cost escalation risks.
- We currently model initial production in Q1/30 with nameplate mill throughput of ~72,000 tpd achieved in H2/31 at a capital cost of US$2.8 bln. Our Base Case sees copper production ramping up to ~128,500 t in 2032, with 44,340 oz gold and 5.9 mln t of iron concentrate. Overall, we model a total of production of 1.3 bln tonnes of copper at a total C1 cash cast of US$0.87/lb (net of credits).
- During Q1, the Santo Domingo drill program continued with a total of ~15,200 m drilled to date, representing ~27% of the planned 54,700 m. Four drill rigs are now operating onsite, with expectations to ramp up to five rigs next quarter. The primary focus of the program is to delineate oxide mineralization at the top of the Santo Domingo and Estrellita sulphide orebodies, while also testing for potential sulphide extensions adjacent to the planned pits.

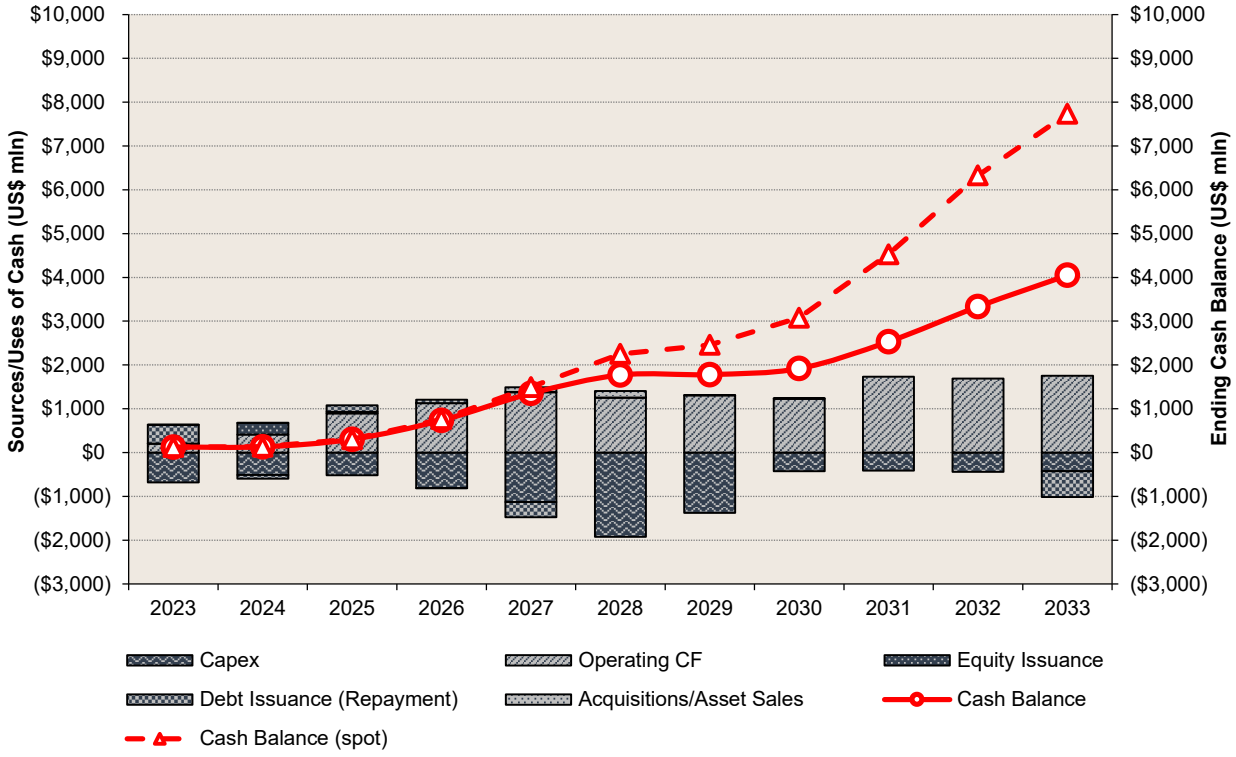
Key Catalysts:

- Mantoverde Optimized construction through to Q3/26
- Mantoverde/Santo Domingo pyrite Augmentation & Cobalt Study by H2/26
- Mantos Blancos Phase II Feasibility Study in Q2/26
- Santo Domingo Sanctioning Decision and Copper Oxides Study in Q4/26
- Pinto Valley District Growth Study in 2026

Balance Sheet Update

- Capstone ended the quarter with US$394.1 mln in cash, US$237.5 mln in working capital and US$1,064 mln in long-term debt. ND/EBITDA of ~0.60x is expected to improve to sub-0.3x by year-end ahead of Santo Domingo capital spending ramping up.
- As of the end of Q1/26, CS had ~19,210 tonnes of zero cost copper collars for 2026 (12.2% of NBCM estimated production) to ensure breakeven pricing on a portion of its higher cost copper cathode production. The collars have an average floor price of US $4.35/lb and an average ceiling price of US$6.35/lb (a portion of call strike is at US$6.00/lb close to current copper prices).
- CS also had 11,950 oz of zero cost gold collars for 2026 (75.0% of estimated 2026 gold production). The collars have an average floor price of US$3,500/oz and an average ceiling price of US$5,925/oz.

Figure 3: Sources & Uses of Cash



Source: NBCM Estimates, Company Reports

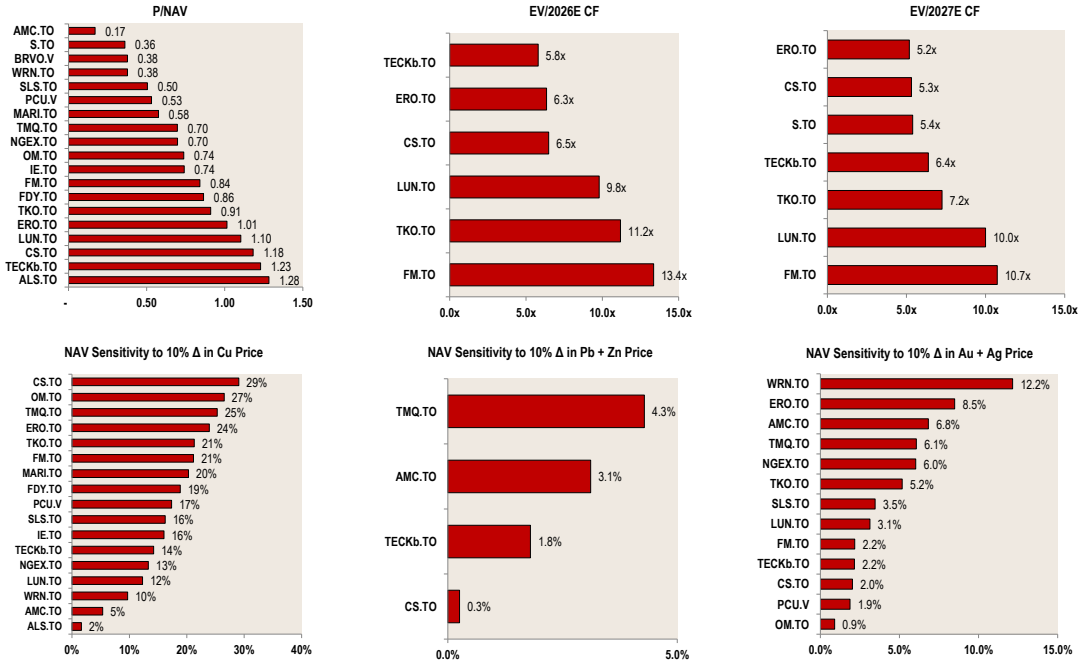
Maintaining Outperform Rating at $14.00 Target (was $15.00 Target)

We have incorporated Q1/26 financial results, account for higher consumables pricing and have curtailed a portion of copper cathode production to conserve cash. We have also modeled increased capitalized stripping partially offset by deferral of other sustaining capital/discretionary exploration expenses into future years. This has resulted a slight reduction in our target to $14.00 from $15.00

Our Outperform rating remains based on a discounted valuation, our positive long-term growth outlook, and potential cost savings through the MV-SD district integration plan as well as several near-mine exploration opportunities to provide further scale. We believe the company will have to deliver improved operational consistency throughout 2026 to support sustainable re-rating of the shares which is supported by a strong Q1 results, despite 35-day labour action at Mantoverde. That said, CS remains one of the names in the sector more exposed to a prolonged conflict in the Middle East given the significance of diesel/sulphuric acid cost exposure.

CS is trading at 1.17x NAV (compared to peers at 1.56x) and 6.3x EV/2027E CF (compared to peers at 8.2x). Our target remains based on a multiple of 1.30x NAV (50%) + 7.5x EV/2026E CF (25%) + 7.5x EV/2027E CF (25%).

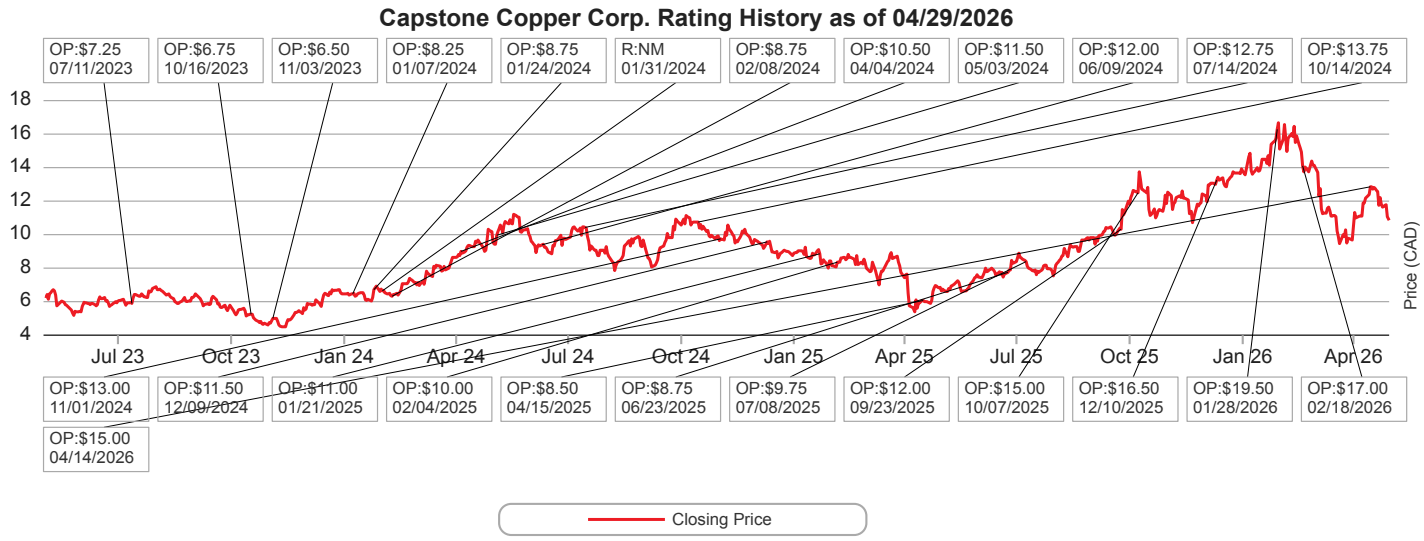
Figure 4: NBCM Base Metal Comparison/Sensitivity Tables



Source: NBCM Estimates, LSEG

Disclosures

PRICE, RATING AND TARGET HISTORY:I = Initiation, OP = Outperform, SP = Sector Perform, UP = Underperform, UR = Under Review, R = Restricted; T = Tender (Source: Factset, NBCM)



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Development Risk: Capstone's ability to successfully complete expansions at Mantoverde and Mantos Blancos as well as the development of Santo Domingo are subject to many risks and uncertainties including the completion of feasibility studies, obtaining/maintaining permits from local governments and obtaining adequate financing.

Commodity Risk: Capstone's valuation is primarily levered to long-term copper prices. Commodity prices are impacted by several external factors out of the company's control, including interest rates, inflation and supply/demand fundamentals.

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432 An NBCM Analyst attended a tour of Lundin Mining's Vicuña Operations in Argentina/Chile and the Caserones Mine in the Atacama Region of Chile from March 10-11, 2026. A portion of the analyst's expenses were paid by the issuer.

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